PRACTICAL INSIGHTS ON VALUATION

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Data Challenges & Common Practices in Valuation

Valuation - When is it required?

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Valuation universe - when is it required?

Equity research

- Sell-side
- Buy-side

Corporate finance

- Fund raising
- M&A
- IPO

Statutory requirement

- Income-tax Act
- Companies Act
- SEBI
- FEMA
- IBC

Internal

- Internal restructuring
- Intangibles
- Indian AS

Authorised professionals	Registered Valuer (IBBI)	Chartered Accountant	Merchant Banker	Chartered Engineer	Others

FEMA - Foreign Exchange Management Act
IBC - Insolvency and Bankruptcy Code
SEBI - Securities and Exchange Board of India

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Statutory requirements and other purposes

1 Income-tax Act
- Issue of shares at premium (Angel tax)
- Transfer of shares to any person (Gift tax)
- Indirect transfer of an Indian asset by overseas entity (Vodafone)
- Slump sale

2 Companies Act
- Issue of shares on preferential basis
- Buy back of shares
- Merger/ demerger

3 FEMA
- Overseas direct investment
- Transfer or issue of shares:
  - R to NR
  - NR to R
  - NR to NR (TP)

4 Ind AS
- Purchase price allocation
- Call/ put options
- Financial instruments
- Redemption liability

5 IBC
- Liquidation:
  - Land and building
  - Plant and machinery
  - Securities or financial assets

6 SEBI
- Open offer
- Preferential allotment

7 Intangibles
- Brands
- Distribution network
- Customer relationship
- Technical know-how

Note: This is not an exhaustive list

R - Resident
NR - Non resident
TP - Transfer pricing

FEMA - Foreign Exchange Management Act
IBC - Insolvency and Bankruptcy Code
SEBI - Securities and Exchange Board of India

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Valuation approaches and methods

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Valuation approaches and methods

01

Market approach

- Comparable companies multiple (CCM) method
- Comparable transaction multiple (CTM) method
- Price of recent investment (PoRI) method

02

Income approach

- Discounted cashflow (DCF) method
- Capitalized earnings method
- Excess earnings method
- Relief from royalty method
- With or without method

03

Cost approach

- Summation cost method
- Replacement cost method
- Reproduction cost method

As prescribed by International Valuation Standards ('IVS')

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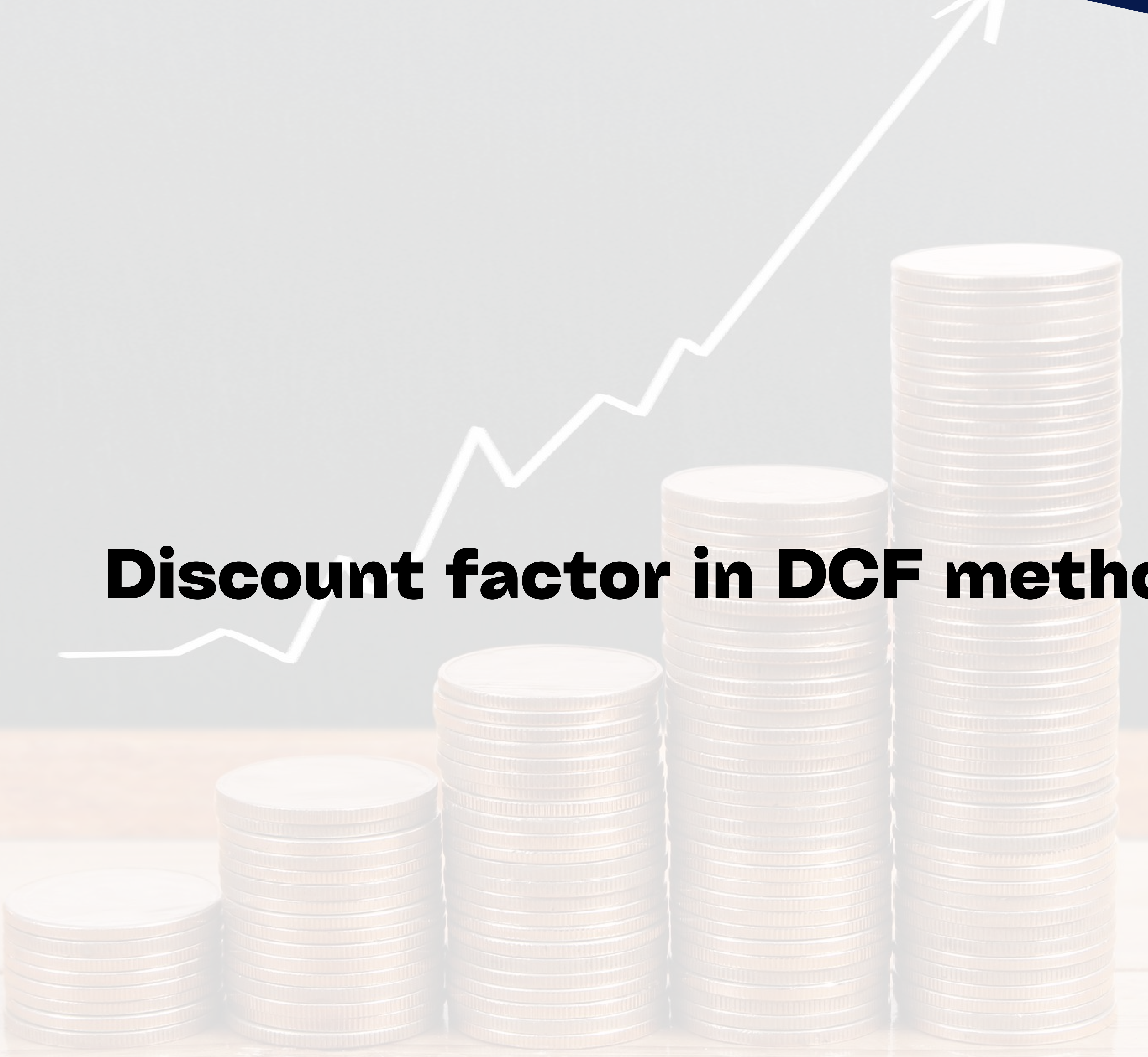
PRACTICAL PROBLEMS IN

INCOME APPROACH



Discount factor in DCF method

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Discount factor

- **CAPM**
- **Participant expectation**
- **Opportunity cost**
- **K_d + premium**

CAPM: Capital Asset Pricing Model

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WACC - CAPM most commonly used

Cost of Equity

Cost of equity = Risk-free rate (R_f) + (Beta (β) × Market risk premium (R_m-R_f)) + Company specific risk premium (CSRP)

Cost of equity: Return required by equity investors

Risk-free rate: Return from a risk-free investment

Beta: Sensitivity to market movements

Market risk premium: Extra return for taking market risk

Company specific risk premium: Premium for risks specific to the company

Cost of Capital

WACC = (Cost of equity (K_e) × Weight of equity (W_e)) + (Post tax cost of debt (K_d) × Weight of debt (W_d))

CAPM: Capital Asset Pricing Model

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R_f

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5. Ratios and Rates

(Per cent)

Item/Week Ended	2024	2025				
	Mar. 29	Feb. 28	Mar. 7	Mar. 14	Mar. 21	Mar. 28
	1	2	3	4	5	6
Ratios						
Cash Reserve Ratio	4.50	4.00	4.00	4.00	4.00	4.00
Statutory Liquidity Ratio	18.00	18.00	18.00	18.00	18.00	18.00
Cash-Deposit Ratio	..	..	4.32	..	4.28	..
	..	..	(4.31)	..	(4.27)	..
Credit-Deposit Ratio	..	..	78.84	..	79.16	..
	..	..	(80.52)	..	(80.81)	..
Incremental Credit-Deposit Ratio	..	..	86.30	..	89.41	..
	..	..	(83.21)	..	(86.28)	..
Investment-Deposit Ratio	..	..	29.79	..	29.54	..
	..	..	(29.93)	..	(29.67)	..
Incremental Investment-Deposit Ratio	..	..	32.25	..	29.56	..
	..	..	(31.00)	..	(28.16)	..
Rates						
Policy Repo Rate	6.50	6.25	6.25	6.25	6.25	6.25
Fixed Reverse Repo Rate	3.35	3.35	3.35	3.35	3.35	3.35
Standing Deposit Facility (SDF) Rate*	6.25	6.00	6.00	6.00	6.00	6.00
Marginal Standing Facility (MSF) Rate	6.75	6.50	6.50	6.50	6.50	6.50
Bank Rate	6.75	6.50	6.50	6.50	6.50	6.50
Base Rate	9.10/10.25	9.10/10.40	9.10/10.40	9.10/10.40	9.10/10.40	9.10/10.40
MCLR (Overnight)	8.00/8.60	8.15/8.45	8.15/8.45	8.15/8.45	8.15/8.45	8.15/8.45
Term Deposit Rate >1 Year	6.50/7.25	6.00/7.25	6.00/7.25	6.00/7.25	6.00/7.25	6.00/7.25
Savings Deposit Rate	2.70/3.00	2.70/3.00	2.70/3.00	2.70/3.00	2.70/3.00	2.70/3.00
Call Money Rate (Weighted Average)	6.85	6.33	6.25	6.29	6.34	6.35
91-Day Treasury Bill (Primary) Yield	7.01	6.45	6.49	6.49	6.51	6.52
182-Day Treasury Bill (Primary) Yield	7.14	6.60	6.61	6.61	6.61	6.52
364-Day Treasury Bill (Primary) Yield	7.08	6.54	6.57	6.56	6.54	6.47
10-Year G-Sec Par Yield (FBIL)	7.07	6.73	6.74	6.72	6.65	6.62
Reference Rate and Forward Premia@						
INR-US$ Spot Rate (₹ Per Foreign Currency)	83.37	87.40	87.06	87.08	86.22	85.58
INR-Euro Spot Rate (₹ Per Foreign Currency)	90.22	90.78	94.20	94.75	93.35	92.32
Forward Premia of US$ 1-month	1.00	3.21	2.79	2.97	4.46	3.12
3-month	1.11	2.46	2.37	2.41	2.80	2.56
6-month	1.31	2.20	2.15	2.17	2.36	2.28

*As per Press Release No. 2022-2023/41 dated April 08, 2022.

@ Financial Benchmarks India Private Limited (FBIL) has taken over from RBI, the computation and dissemination of reference rate for spot USD/INR and exchange rate of other major currencies with effect from July 10, 2018. Data on forward premia are sourced from FBIL with effect from October 13, 2023.

Figures in parentheses include the impact of merger of a non-bank with a bank.

10 year government bond yield

https://www.rbi.org.in/Scripts/BS_NSDPDisplay.aspx?param=4

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Beta

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Damodaran

Pros

- Country as well as industry specific beta available
- 15+ years historical data available
- Commonly used external data

Cons

- Published only once a year

Comparable companies

Pros

- Can be calculated any time during the year
- Refined set of comparables

Cons

- Subjectivity in comparables
- Data availability challenge

https://pages.stern.nyu.edu/~adamodar/pc/datasets/betaIndia.xls

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MRP

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Market premium of S&P BSE 500 index

10 year market premium - Issues in specific point-in-time data

Period	Value
30-Sep-14	10,173
30-Sep-24	38,228
Market return	14.2%
Risk free rate	6.8%
Market premium	7.4%

Period	Value
31-Mar-10	6,920
31-Mar-20	11,098
Market return	4.8%
Risk free rate	6.7%
Market premium	-1.9%

10 year market premium - Aug 24 to Jul 25

Particulars	Aug	Sep	Oct	Nov	Dec	Jan
Start date	31 Aug 14	30 Sep 14	31 Oct 14	30 Nov 14	31 Dec 14	31 Jan 15
End date	31 Aug 24	30 Sep 24	31 Oct 24	30 Nov 24	31 Dec 24	31 Jan 25
Value at start	10,096.1	10,173.3	10,594.9	10,956.2	10,721.6	11,346.2
Value at end	37,459.1	38,227.6	35,738.1	35,726.1	35,189.0	33,962.7
Market return	**14.0%**	**14.1%**	**12.9%**	**12.5%**	**12.6%**	**11.6%**
Risk free rate	6.9%	6.8%	6.8%	6.8%	6.8%	6.7%
Market return (R_m-R_f)	**7.1%**	**7.3%**	**6.1%**	**5.7%**	**5.8%**	**4.9%**

Particulars	Feb	Mar	Apr	May	Jun	Jul
Start date	28 Feb 15	31 Mar 15	30 Apr 15	31 May 15	30 Jun 15	31 Jul 15
End date	28 Feb 25	31 Mar 25	30 Apr 25	31 May 25	30 Jun 25	31 Jul 25
Value at start	11,405.3	11,048.8	10,696.8	11,023.8	10,903.5	11,233.4
Value at end	31,296.9	33,579.2	34,640.4	35,815.2	37,043.2	35,981.7
Market return	**10.6%**	**11.7%**	**12.5%**	**12.5%**	**13.0%**	**12.3%**
Risk free rate	6.7%	6.6%	6.4%	6.2%	6.3%	6.4%
Market return (R_m-R_f)	**3.9%**	**5.1%**	**6.1%**	**6.3%**	**6.7%**	**5.9%**

Market premium considered in industry at either 6% or 7%

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CSRP

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Particulars	Less risk 1	Input Score from 1 - 5	More risk 5	Weights	Weighted score
Market [1]					
Market size	Big	1	Small	12%	0.1
Market share	High	2	Small	12%	0.2
Management					
Management quality	High	3	Low	6%	0.2
Reliance on key persons	Low	2	High	4%	0.1
Sales [2]					
Ease of scaling-up	Fast	3	Slow	10%	0.3
Reliance on key customers	Low	2	High	10%	0.2
Purchasing					
Input-cost risk	Low	4	High	4%	0.2
Reliance on key suppliers	Low	3	High	2%	0.1
Product/ service [3]					
Intellectual property protection	High	5	Low	11%	0.6
Innovativeness	Very Innovative	5	Not Innovative	9%	0.5
General					
Foreign exchange/ currency risk	Low	1	High	2%	0.0
Risk of achieving forecasted cashflows	Low	1	High	18%	0.1
Total				**100%**	**2.5**

Company Specific Risk Premium ('CSRP') [0.02 + 0.01*(Weighted score - 3)]	1.50%	
DCF		
Alpha range	0.0%	4.0%
Alpha	1.50%	

[1] Can further include factors like market growth, competition, business cycle, political-legal factors, etc.

[2] Can further include factors like long-standing relation with customers, reliance on distribution partners, etc.

[3] Can further include factors like risk of technological disruption, product/ service positioning, product/ service concentration, etc.

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Debt to capital ratio

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Which of the following debt-to-capital ratio should be used for valuation?

1. Market value of debt and equity
2. Target debt to capital ratio
3. Industry debt to capital ratio
4. Book value of debt and equity

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FCFF or FCFE?

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FCFF

Free cash flow to firm (FCFF) calculation flow

$$\text{EBIT} \times (1 - t) + \text{Depreciation} - \text{Capital expenditure} - \Delta\,\text{Working capital} = \text{FCFF}$$

$$\text{FCFF} \times \text{Discount factor} = \text{Discounted FCFF}$$

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Horizon period vs Terminal value

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Terminal value

Terminal value = value of all cash flows beyond horizon period

Gordon growth model

Grows at perpetual growth rate forever

H-model

Growth fades gradually from the horizon rate to the perpetual growth rate and then at perpetual growth rate forever

Multiple based

Exit multiples like EV/EBITDA or EV/EBIT applied to terminal-year earnings

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Enterprise value vs. equity value

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Enterprise value to equity value

Enterprise value = Net present value of horizon period cash flow + Present value of terminal cash flow

Equity value = Enterprise value − Debt and debt like items + Surplus assets − Contingent liability*

Debt and debt like items:

-
-
-
-

Surplus assets:

-
-
-
-

***Contingent liability:** Estimated financial impact x Probability of occurrence

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Enterprise value to equity value

Enterprise value = Net present value of horizon period cash flow + Present value of terminal cash flow

Equity value = Enterprise value − Debt and debt like items + Surplus assets − Contingent liability*

Debt and debt like items:

- Borrowings
- Unfunded gratuity/leave encashment
- Stretch creditors
- Non-convertible preference shares

Surplus assets:

- Vacant land & buildings
- Non-operational advances to related parties
- Assets held for sale
- Cash and cash equivalents

***Contingent liability:** Estimated financial impact x Probability of occurrence

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PRACTICAL PROBLEMS IN
MARKET APPROACH

Issues in comparable transaction multiples

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Case study - Difference in actual vs reported CTM multiple

Equity value

Particulars	Amount
Reported EBITDA	60
Adjustments*	(10)
Sustainable EBITDA	50
EV/EBITDA multiple	6x
Enterprise value	**300**
Borrowings	-
C&CE	50
Accrued interest (net of tax)	5
Personal assets	25
WC adjustment	40
Pending GST matter	(120)
Equity value	**300**
100% shares bought for	180
60% tranche at first closing	180

Balance 40% based on FY25 performance with a floor + cap valuation and on OCRPS structure

*Period adjustments of revenue & margins, management replacement cost, gratuity provisioning by actuary

How a database captures information?

Particulars	Amount
Equity value	**180**
Borrowings	-
C&CE	50
Enterprise value	**230**
Reported EBITDA	60
EV/EBITDA multiple	**4x**

Another example:
Deal negotiated on NAV but database captures multiples

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Comparable companies method ('CCM')

Different multiples in different databases!

Company Name	Moneycontrol	VccEdge	Bloomberg	Acumen
Bharat Bijlee Ltd.	11.6x	11.6x	12.0x	11.0x
Salzer Electronics Ltd.	7.8x	8.1x	7.8x	7.6x
Shilchar Technologies Ltd.	6.6x	6.6x	7.7x	8.1x
Swelect Energy Systems Ltd.	8.2x	8.6x	8.5x	7.8x
TD Power Systems Ltd.	9.0x	10.3x	10.7x	8.7x
Transformers and Rectifiers India	8.6x	9.0x	10.2x	9.4x
Voltamp Transformers Ltd.	10.8x	10.8x	13.6x	10.4x
Median of EV/ EBITDA	**8.6x**	**9.0x**	**10.2x**	**8.7x**

Computation of multiple

INR crore

Share price on result date (INR) (A)	No. of shares (B)	Market value (C = A*B)	Debt (D)	Surplus assets (E)	Enterprise value (EV) (F = C+D-E)	Operating EBITDA (G)	EV/EBITDA (F/G)
1,996	1,01,17,120	2,019	-	575	1,445	139	10.4x

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Ind AS 116 implications on EBITDA multiples

EBITDA margins
INR crores

Particulars	D-mart	Trent	V-mart
Revenue	42,840	8,242	2,465
EBITDA	3,637	1,074	269
EBITDA margins	*8.5%*	*13.0%*	*10.9%*
Less: Rental cost below EBITDA	(220)	(462)	(183)
Adjusted EBITDA	**3,417**	**612**	**86**
Adjusted EBITDA margins	*8.0%*	*7.4%*	*3.5%*
Change in margins	***(0.5%)***	***(5.6%)***	***(7.4%)***

EV/ EBITDA multiple
INR crores

Particulars	D-mart	Trent	V-mart
Option 1: Without rent adjustment			
Enterprise value	221,140	53,342	5,607
EBITDA	3,637	1,074	269
EV/ EBITDA multiple	**61x**	**50x**	**21x**
Option 2: With rent adjustment			
Enterprise value	220,497	49,376	4,423
Adjusted EBITDA	3,417	612	86
EV/ EBITDA multiple	**65x**	**81x**	**52x**
% difference in multiples	***(5.8%)***	***(38.4%)***	***(59.5%)***

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Discount or premium to comparable multiples?

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What drives the multiple?

SCALABILITY	MOATS	EFFICIENCY	LIQUIDITY	VITALITY
5-Year CAGR in revenue & EBITDA	EBITDA margin % and ROCE %	Fixed assets turnover	Net working capital days	Cash to EBITDA ratio

VALUATION DISCOUNT ▼

- Lagging growth
- Margin contraction
- Future potential

VALUATION PREMIUM ▲

- Superior scalability
- High pricing power
- Intangibles

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Market approach - discounts and premiums

Enterprise value as per market approach
INR million

Particulars	Value
Median EV/EBITDA mutiple of comparable companies/ transactions	8.7x
Adopted EV/EBITDA multiple	**7.4x**
Operating EBITDA	100
Enterprise value	**740**

Multiples of comparable companies/ transactions adjusted for factors such as:

- Illiquidity
- Size
- Growth
- Client concentration
- Group company dependency
- Revenue model
- Revenue mix
- Economies of scale
- Margin profile
- Control premium

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ANY QUESTIONS?

Challenges in M&A valuation and equity research

DCF OR MULTIPLIER?

WHAT DOES THE EQUITY RESEARCH INDUSTRY DO?

Scientific forecasting or philosophical contemplation?

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Equity research valuation - PVR (1/6)

January 2020 Recommendation by Kotak

REDUCE

JANUARY 06, 2020

RE-INITIATING COVERAGE

Sector view: Attractive

CMP (₹): 1,875

Fair Value (₹): 1,825

BSE-30: 41,465

Forecasts/valuations	2020E	2021E	2022E
EPS (Rs)	41.5	58.3	67.4
EPS growth (%)	(3.8)	40.6	15.7
P/E (X)	45.2	32.2	27.8
P/B (X)	5.0	4.4	3.9
EV/EBITDA (X)	15.3	13.1	11.3
RoE (%)	13.4	14.5	14.8
Div. yield (%)	0.2	0.3	0.4
Sales (Rs bn)	37	42	48
EBITDA (Rs bn)	7	8	9
Net profits (Rs bn)	2	3	3

Valuer assigns PVR an **11x 2-year forward EV/EBITDA** (matching the prior coverage suspension multiple due to compliance).

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Equity research valuation - PVR (2/6)

March 2022 Recommendation by Kotak

BUY

MARCH 28, 2022

UPDATE

Sector view: Attractive

CMP (₹): 1,822

Fair Value (₹): 2,000

BSE-30: 57,362

Forecasts/valuations	2022E	2023E	2024E
EPS (Rs)	(78.6)	50.6	59.4
EPS growth (%)	28.2	164.4	17.3
P/E (X)	(23.2)	36.0	30.7
P/B (X)	4.8	4.3	3.8
EV/EBITDA (X)	(41.4)	14.2	12.4
RoE (%)	(18.9)	12.6	13.2
Div. yield (%)	(0.4)	0.3	0.3
Sales (Rs bn)	10	42	47
EBITDA (Rs bn)	(3)	8	9
Net profits (Rs bn)	(5)	3	4

- PVR has historically traded in **11-14x 2-yr forward EV/EBITDA** range, while INOX at 20-30% below PVR's valuation.
- As per the valuer, MergeCo (PVR-INOX) may command a premium (approx. **13-15x EV/EBITDA**) due to enhanced economics and returns.
- Synergies may lift PVR by 20-40%. Valuer raised FMV to Rs 2,000 (**13.5x FY24E EV/EBITDA**).

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Equity research valuation - PVR (3/6)

March 2023 Recommendation by Kotak

BUY

MARCH 10, 2023

UPDATE

Sector view: Attractive

CMP (₹): 1,541

Fair Value (₹): 1,800

NIFTY-50: 17,590

PVR-INOX is trading at 10X FY2025E pre-Ind AS 116 EV/EBITDA

Exhibit 2: Valuation and financial multiples of PVR-INOX

Valuation metrics for combined entity	
Current share price of PVR (Rs)	1,570
Total shares of combined entity (mn)	98
Market capitalization (Rs mn)	**153,786**
Combined entity gross debt (Rs mn)	16,000
Combined entity cash position (Rs mn)	5,000
Net debt of combined entity (Rs mn)	11,000
Enterprise value of combined entity (Rs mn)	**164,786**
Proforma EBITDA - FY2024E	13,001
Proforma EBITDA - FY2025E	16,510
EV/EBITDA (FY2024E)	**12.7**
EV/EBITDA (FY2025E)	**10.0**

Source: Company, Kotak Institutional Equities

- The valuer tweaked their estimates (like occupancy, ad revenue, average ticket price, etc.) and revised the FMV to **Rs 1,800**.
- Outcome: The valuer cuts PVR-INOX FY2024/25E EBITDA by 2-5% and revising the FMV to Rs 1,800 (implies **~14x/11x** FY2024E/25E EV/EBITDA).
- The fair value as per Kotak across 2020-2023 has been 1,800-2,000 & the share has consolidated in this range after recovering from the covid phase.

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Equity research valuation - PVR (4/6)

March 2025 Recommendation by Kotak

BUY

MARCH 6, 2025

UPDATE

Sector view: Neutral

CMP (₹): 953

Fair Value (₹): 1,200

NIFTY-50: 22,337

Forecasts/Valuations	2025E	2026E	2027E
EPS (Rs)	(17.4)	9.1	33.9
EPS growth (%)	(249.5)	152.3	272.7
P/E (X)	(54.7)	104.7	28.1
P/B (X)	1.1	1.1	1.1
EV/EBITDA (X)	28.5	14.0	9.4
RoE (%)	(2.1)	1.1	3.9
Div. yield (%)	0.0	0.0	0.0
Sales (Rs bn)	58	66	74
EBITDA (Rs bn)	3.8	7.5	11
Net profits (Rs bn)	(1.7)	0.9	3.3

Source: Bloomberg, Company data, Kotak Institutional Equities estimates

- The valuer has attributed the significant fall in CMP to weak box office collections and a delay in Bollywood recovery and revised the FMV to **Rs. 1,200.**
- The footfall and EBITDA margin assumptions are taken in line with FY24, reasoning that FY25 was affected by general elections and slowdown in the Bollywood industry.
- Outcome: The valuer cuts PVR-INOX FY2026/27E EBITDA by 3-13% and revising the FMV to Rs 1,200 (implies **~14x/12x** FY2026E/27E EV/EBITDA).

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Equity research valuation - PVR (5/6)

February 2026 Recommendation by Kotak

BUY

FEBRUARY 6, 2026

UPDATE

Sector view: Neutral

CMP (₹): 987

Fair Value (₹): 1,400

NIFTY-50: 25693

- The valuer attributed positive outlook to improving cinema-going trends, ~8.6% YoY growth in footfalls, robust CY2026 movie pipeline and stronger EBITDA margins, with occupancy at 28.5%.
- Operating assumptions incorporate further improvement in occupancy, continued benefits from cost initiatives and capital-light expansion, along with further reduction in net debt through non-core asset monetisation.
- Outcome: The valuer raises FY2026E EBITDA by 7% and revises the FMV to **Rs. 1,400**, reiterating BUY, while expecting earnings to de-grow 7.5% in FY2027E before recovering with 26.3% growth in FY2028E.

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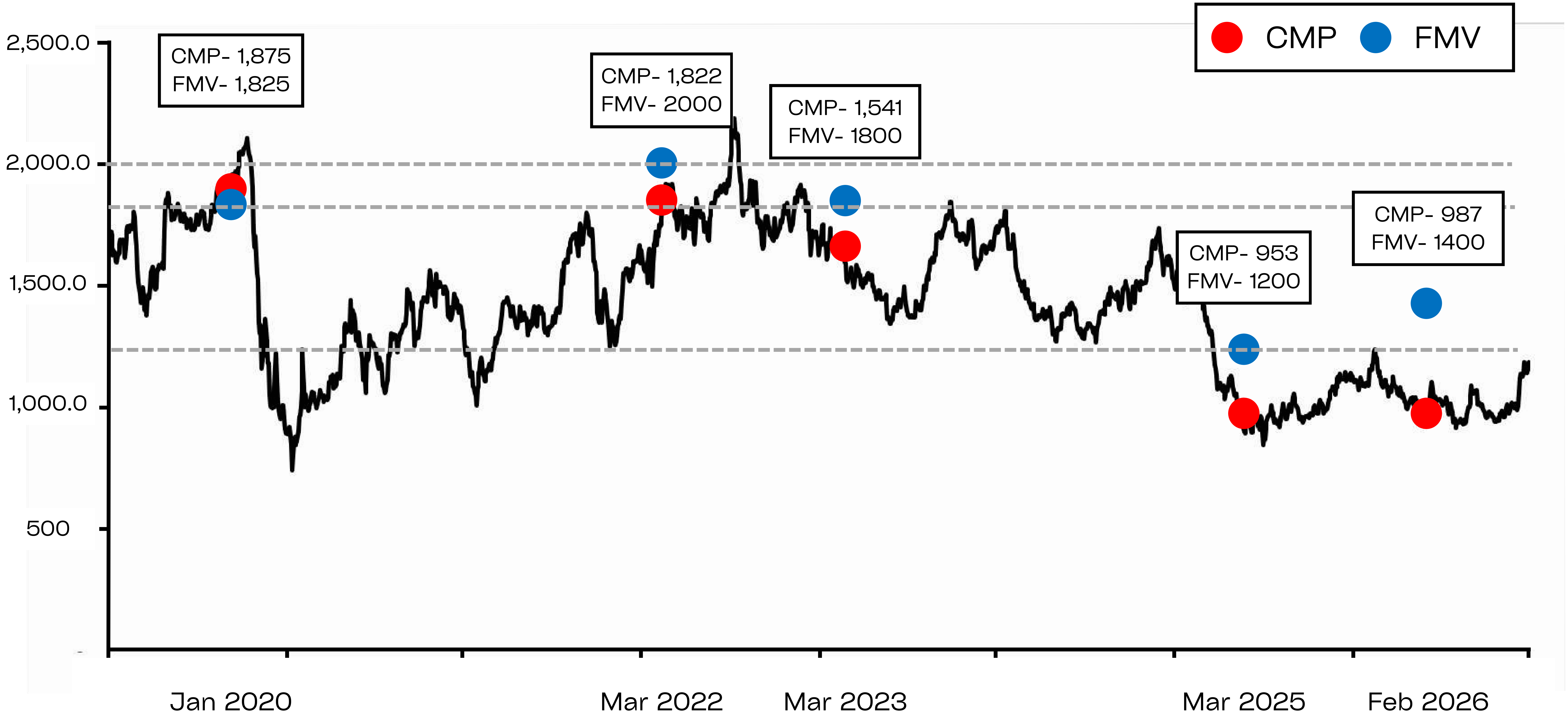
Equity research valuation - PVR (6/6)



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Justifying rich valuations - Manyavar

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Equity research valuation - Vedant Fashions (1/4)

Valuation comparison

Company Name	Country	Market cap (USD mn)	Revenue CAGR 2022-24e	EBITDA margin 2023E	EBITDA margin 2024E	EPS CAGR 2022-24e	EBITDA CAGR 2022-24e	P/E 2023	P/E 2024E	EV/EBITDA 2023E	EV/EBITDA 2024E	EV/Sales 2023E	EV/Sales 2024E
India Apparel and Retail													
Trent Ltd	India	5,812	26%	15%	15%	35%	29%	85.8x	68.3x	38.4x	31.3x	5.6x	4.7x
Aditya Birla Fashion and Retail Ltd	India	2,704	19%	14%	14%	121%	24%	69.2x	45.3x	13.3x	11.1x	1.8x	1.6x
Vedant Fashions Ltd	India	3,455	21%	48%	48%	23%	21%	57.7x	47.6x	37.8x	31.5x	18.1x	15.1x
Page Industries Ltd	India	5,036	16%	20%	21%	20%	20%	55.2x	46.2x	37.5x	31.7x	7.5x	6.5x
Shoppers Stop Ltd	India	857	18%	16%	16%	73%	24%	43.5x	34.7x	12.9x	11.0x	2.0x	1.8x
V-mart Retail Ltd	India	573	24%	12%	13%	94%	29%	81.4x	51.7x	16.4x	13.1x	2.0x	1.7x
Shoppers Stop Ltd	India	857	18%	16%	16%	73%	24%	43.5x	34.7x	12.9x	11.0x	2.0x	1.8x
Arvind Fashions Ltd	India	433	15%	9%	12%	NA	45%	29.8x	13.6x	10.9x	7.2x	1.0x	0.9x
Mean			**19%**	**19%**	**19%**	**63%**	**27%**	**58.3x**	**42.8x**	**22.5x**	**18.5x**	**5.0x**	**4.2x**
Median			**18%**	**15%**	**15%**	**73%**	**24%**	**56.4x**	**45.8x**	**14.8x**	**12.1x**	**2.0x**	**1.8x**

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Equity research valuation - Vedant Fashions (2/4)

Absolute valuations rich, but supported by growth

	12 month forward multiples		Consensus estimates - growth (F23-F25 CAGR)		
	P/E	EV/EBITDA	Revenue	EBITDA	EPS
Jubilant	53.0	21.5	17%	20%	27%
Titan	54.3	38.5	17%	18%	20%
Dmart	71.9	47.1	23%	25%	26%
Page	53.8	36.7	14%	19%	20%
Trent	75.4	36.5	21%	24%	25%
Average	**61.7**	**36.1**	**19%**	**21%**	**24%**
Vedant	**55.8**	**34.7**	**20%**	**20%**	**21%**

Source: Bloomberg, Refinitiv consensus estimates, Morgan Stanley Research

- The forward EV/EBITDA multiple gives an absolute high valuation, but in line with **discretionary** peers (JUBI, Titan, DMart, Page).
- Valuer thinks market willing to pay a high multiple, given strong market share gain and revenue growth potential.

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Equity research valuation - Vedant Fashions (3/4)

	Base Case	Bull Case	Bear Case
Risk free rate	7%	7%	7%
Long Term Beta	0.9	0.9	0.9
Risk premium	6%	6%	6%
Cost of equity	12%	12%	12%
Terminal Growth Rate	6%	6%	6%
Phase 1: Explicit forecast period			
Revenue CAGR (F23-F26e)	20%	22%	19%
Earnings CAGR (F23-F26e)	22%	24%	21%
Phase 2: High growth			
Manyavar: exit growth rate	14%	15%	13%
Mohey: exit growth rate	16%	17%	14%
Others: exit growth rate	15%	16%	14%
EBITDA margin	0%	0%	0%
Fixed asset addition	4%	6%	2%
Right of use asset	10%	12%	7%
Lease liab	10%	12%	7%
Working capital to sales	0%	0%	0%
Payout	90%	90%	90%
Phase 3: Steady Growth			
Manyavar: exit growth rate	12%	13%	12%
Mohey: exit growth rate	13%	14%	12%
Others: exit growth rate	13%	14%	12%
EBITDA margin	0%	0%	0%
Fixed asset addition	3%	5%	1%
Right of use asset	8%	10%	5%
Lease liab	8%	10%	5%
Working capital to sales	0%	0%	0%
Payout	90%	90%	90%
Scenario values	1313	1637	1049
weight	*60%*	*25%*	*15%*
PT		**1,354**	

Source: Morgan Stanley Research estimates

Catalysts if derived value is very different - WACC, comparables, weights in scenarios of DCF

- A **four-stage residual income model** is used for the price target. Anticipating 23 years of high-growth and steady phases:
- 3-year explicit forecast, 10-year high-growth, 10-year steady growth and lastly terminal growth.
- Key assumptions for Vedanta include a **cost of equity of 12.4%** (risk-free rate of 7%, risk premium of 6%, beta of 0.9) and a terminal growth rate of 6%.
- In the base case forecasts, key value drivers are revenue growth, EBITDA margins, and working capital cycle among control variables.

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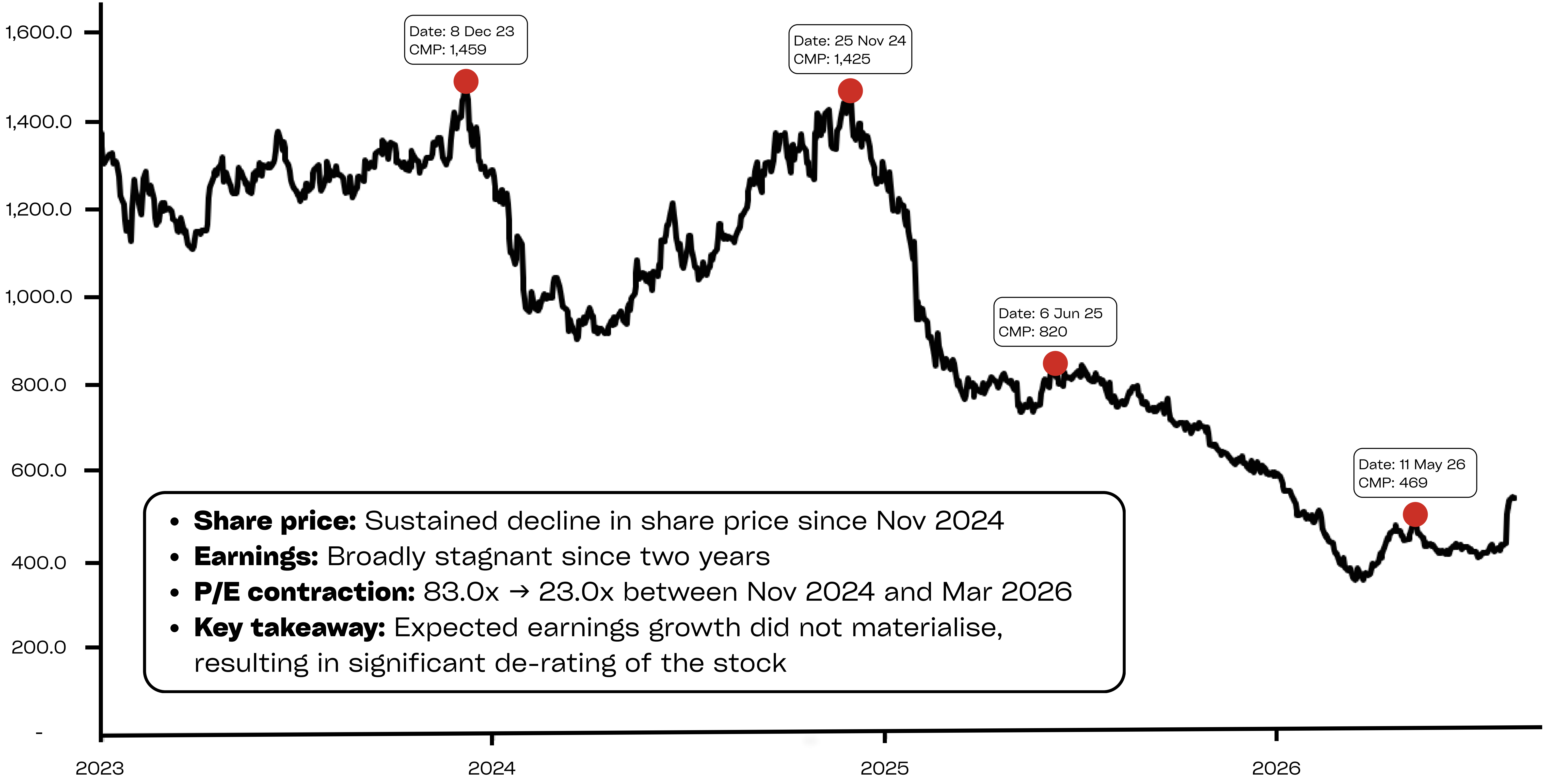
Equity research valuation - Vedant Fashions (4/4)



- **Share price:** Sustained decline in share price since Nov 2024
- **Earnings:** Broadly stagnant since two years
- **P/E contraction:** 83.0x → 23.0x between Nov 2024 and Mar 2026
- **Key takeaway:** Expected earnings growth did not materialise, resulting in significant de-rating of the stock

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Justifying rich valuations - DMart

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Equity research valuation - Avenue Supermart (1/3)

	Base case	Bull case	Bear case
Risk free rate	6%	6%	6%
Beta	0.8	0.8	0.8
Risk premium	6%	6%	6%
Cost of equity	10.5%	10.5%	10.5%
Tax rate	25.2%	25.2%	25.2%
Stage 1: FY21e-FY23e			
Store addition (cumulative)	108	112	65
Revenue growth CAGR	22%	23%	22%
EBIT margin (cumulative expansion)	28bps	37bps	-4bps
Stage 2: FY24e-FY33e			
Same store sales growth (declining trend)	from 13%-8%	14%-9%	13%-7.5%
Store addition growth (declining trend)	from 18%-7%	from 18%-8%	from 12%-6.5%
Revenue growth CAGR	18.60%	19.80%	15.80%
EBIT margin (annual increment)	5bps	8bps	2bps
Working capital (annual increment)	10bps	12bps	8bps
Stage 3: FY34e-FY43e			
Same store sales growth (declining trend)	from 8%-6%	from 9%-7%	from 7.5%-5.5%
Store addition growth (declining trend)	from 7%-5%	from 8%-6%	from 6.5%-4.5%
Revenue growth CAGR	12.10%	13.90%	11%
EBIT margin (annual increment)	12bps	13bps	10bps
Working capital (annual increment)	-10bps	12bps	-5bps
Terminal value			
Terminal growth rate	6.0%	6.3%	5.8%
Implied terminal value multiple	23.6	25.0	22.3
Fair value (Rs/sh)	**2650**	**3441**	**1786**
Weighting	55%	30%	15%
Price Target (Rs/sh)		**2,758**	

Source: Morgan Stanley Research estimates

How to value DMart?

- A **four-stage residual income model** is used to peg DMart's fair value. The four-stage model is employed due to 10-year high-growth phase followed by a low-growth phase.
- Stages of growth: 3-year forecast, 10 years high-growth, 10 years low-growth, and terminal growth.
- In the assumptions, the **cost of equity** for DMart is estimated at **10.5%** (risk-free rate and risk premium both at 6%) with beta of 0.8.
- In base case forecasts, vital business drivers encompass SSG, store additions, EBIT margins, store investment, and working capital cycle.

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Equity research valuation - Avenue Supermart (2/3)

Valuation comparables

Company Name	Market cap (USD mn)	Revenue CAGR F20-F22e	EBITDA margin FY20	EPS CAGR F20-F22e	ROE FY20	P/E FY20	P/E FY21e	P/E FY22e	EV/sales FY21e	EV/sales FY22e	EV/EBITDA FY21e	EV/EBITDA FY22e	Net debt to equity
India													
Avenue Supermarts	20,076	21%	9%	27%	15.6%	115.0x	106.1x	71.6x	5.5x	4.2x	70.4x	47.9x	0.0x
Future Retail	792	7%	9%	13%	17.4%	0.1x	0.1x	0.1x	0.3x	0.2x	2.5x	2.5x	0.6x
V-mart Retail Ltd	427	11%	13%	23%	11.4%	66.3x	172.5x	44.0x	2.6x	1.8x	25.5x	15.7x	1.1x
Aditya Birla Fashion Reta	1,341	6%	14%	NM	-13.1%	NM	NM	52.1x	1.9x	1.5x	18.5x	12.2x	4.4x
Trent Ltd	2,652	12%	16%	60%	1.3%	161.4x	170.1x	63.2x	6.0x	4.5x	46.1x	29.1x	-0.2x
Shoppers Stop	207	-1%	16%	NM	-21.7%	NM	NM	79.0x	1.4x	1.1x	11.7x	7.5x	30.2x
Mean		**9%**		**31%**	**2%**	**85.7x**	**112.2x**	**51.6x**	**2.9x**	**2.2x**	**29.1x**	**19.2x**	**6.0x**
Median		**9%**		**25%**	**6%**	**90.7x**	**138.1x**	**57.6x**	**2.3x**	**1.7x**	**22.0x**	**13.9x**	**0.9x**

- DMart's property assets dominate its balance sheet due to its store ownership model. However, valuer doesn't consider real estate valuation since assets are used operationally, not for value unlocking through divestitures.
- DMart doesn't aim to monetize property assets due to operational stability from secured properties and unappealing returns from property sales versus ongoing operations (similar interest and depreciation cost savings as rental expenses). Still, property assets provide share support during operational weakness.
- The valuer might consider P/B, yet property assets' book value could be notably lower than market value due to substantial land price hikes over time.

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Equity research valuation - Avenue Supermart (3/3)

Global comparables

	Market cap ($mn)	ROE (FY20)	Net debt/ equity	FY20 P/E	EPS CAGR (FY20-FY22e)	PEG
Walmart Inc	344,592	15%	69%	24.7x	5%	5.4x
Costco Wholesale Corp	132,656	25%	-12%	36.3x	7%	4.9x
Target Corp	61,217	27%	75%	19.4x	3%	7.4x
Avenue Supermarts	**19,968**	**16%**	**1%**	**114.4x**	**26%**	**4.4x**

Source: Refinitive, Morgan Stanley Research estimates

- Global valuations: Despite DMart's 75x F22 P/E being high, valuers considers its 26% F20-22 earnings CAGR and **4.4x PEG**. Comparatively, major US retailers like Walmart, Costco, and Target have PEG ratios of 5.3x, 4.9x, and 7.3x respectively.
- Additionally, DMart's growth outlook surpasses global businesses, and its return profile aligns with international firms, featuring a 15.6% ROE (versus 15% global average) and net cash position (as opposed to the global average net debt/equity ratio of 85%).

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HOW IS M&A VALUATION DIFFERENT FROM EQUITY RESEARCH VALUATION?

Typical valuation construct in M&A

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Typical deal structure

EV/EBITDA multiple of 'x' on sustainable EBITDA on a <u>cash-free</u>, <u>debt-free</u> basis adjusted for <u>normalized working capital</u> and any other non-operating assets

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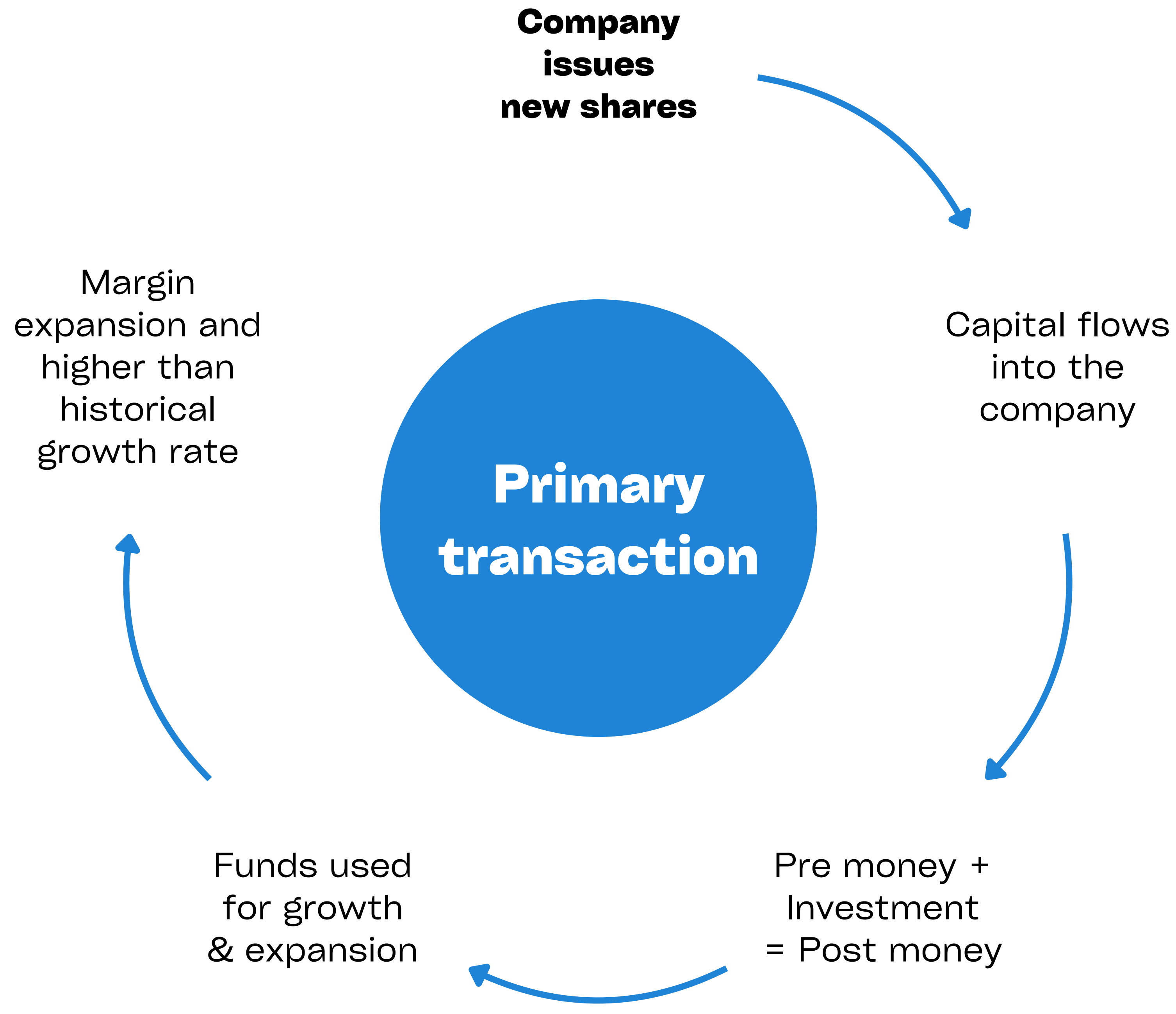
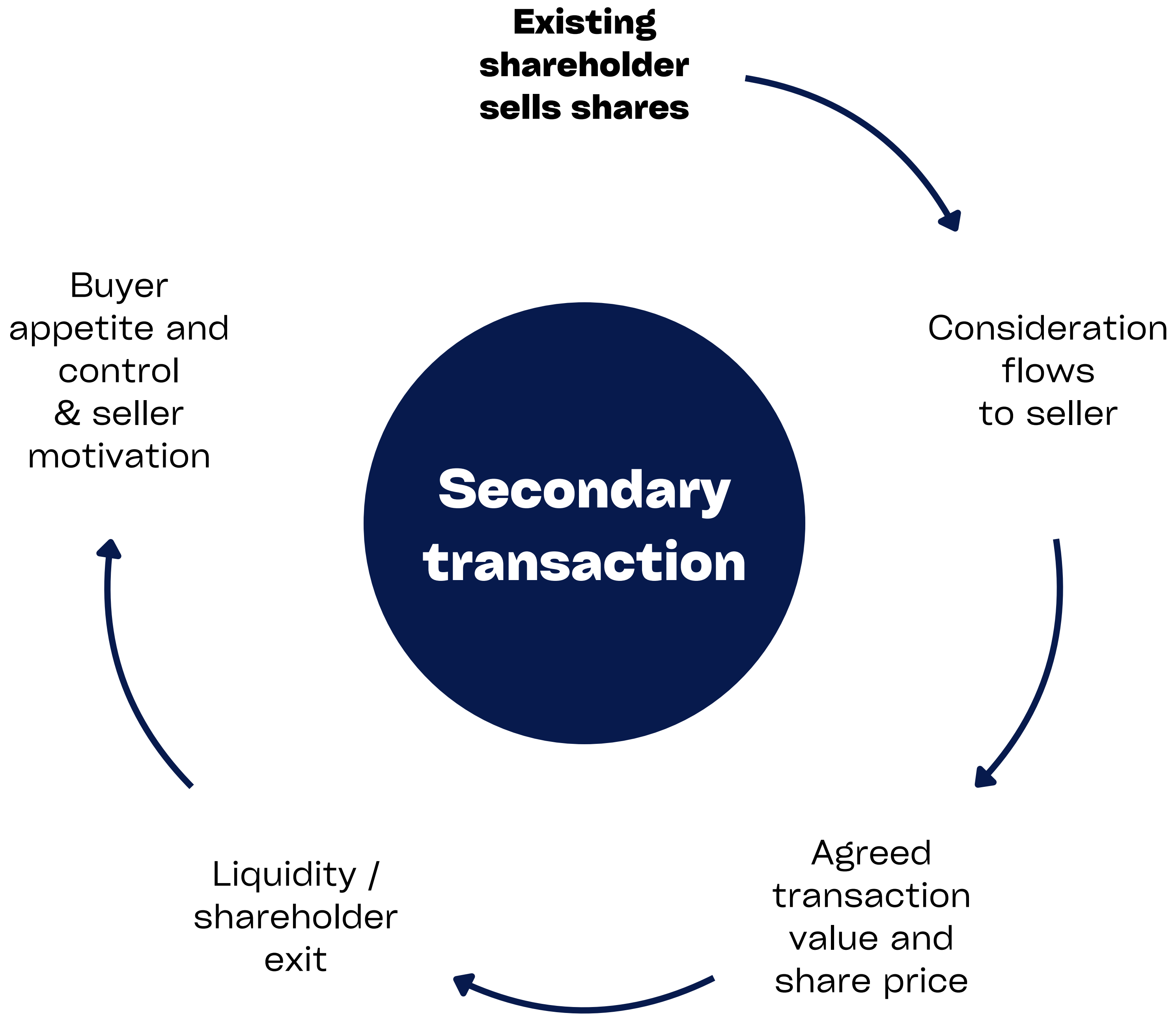
Primary vs secondary transaction



Capital creation



Ownership transfer

What makes businesses go for M&A?

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M&A case study (Packaging) - forward integration

Particulars	Amount
Land	100
Building	50
Plant & machinery	60
Working capital	80
Sub-total	**290**
Less: Borrowings	(40)
Net asset value	**250**
Add: Goodwill	40
Equity value	**290**

Buyer

Forward integration synergies (Internal DCF based valuation not shared with Seller)

Seller

- Couldn't justify DCF based valuation based on future potential since seller was exiting the business and was not open for an earnout
- Couldn't apply market multiple since no data was available for transaction in similar space therefore offers coming in were 5x EV/EBITDA multiple

Convinced Buyer to value the business on NAV basis and on top of the NAV, added a goodwill value calculated as 2-years PAT - Seller ended up with 8x EV/EBITDA

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M&A case study (Transformer) - monopolising the market

Particulars	Amount
Technology (Drawings, etc)	170
Entry into Brazil and US markets	100
Brand name	150
Current profitability	160
Value of the business	**580**

Buyer valued the business, not based on market multiples, or DCF, but on the basis of intangible benefits that the Buyer would get from the acquisition

Deal closed at 650

Buyer looked at downside risk as 1 year profits generated from own business

Seller expectation 850

200 worth of L&B excluded from business and taken on rent by Buyer

L&B: land & buildings

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M&A case study (Security) - geography cost synergies

Particulars	Values
Profits from seller business	15
Savings in own business	10
(Reduction of inefficient team)	25
Multiple	4x
Value offered	**100**

Buyer gets-

- All contracts
- Brand
- Trained employees
- Ready business
- Office assets

Seller gets-

- All net assets until closing
- All personal assets to keep
- INR 100 for business sale

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M&A case study (Staffing) - multiple offers (auction process)

Particulars	Listed staffing co. - general + IT staffing	General staffing in pre - IPO stage	PE-backed co. creating platform staffing venture	HR services	Facilities management
Past M&A experience	Experienced - organic + inorganic expansion	First time acquirer	Pure inorganic play	Experienced - but not in staffing	Experienced - but not in staffing
Equity value	150	450, then down to 250	300	250	350
No future engagement in business	100% exit on closing	100% exit with promoter lock-in for 12 months	100% exit on closing	Earnout for 12-24 months	Promoter lock-in for 36 months

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M&A case study (D2C): revenue multiple vs profit multiple

Income statement	FY25	FY26
Net revenue	**665**	**940**
y-o-y growth		*41%*
COGS	440	650
Gross margins	**225**	**290**
Delivery costs	120	135
Contribution margin 1	**105**	**155**
Marketing costs	45	55
Contribution margin 2	**60**	**100**
Salary costs	50	65
HO and admin costs	44	50
EBITDA	**(34)**	**(15)**

Secondary sale valuation given by the PE was 20% lower than valuation for the primary infusion

Why revenue multiples matter?

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M&A case study (Die-casting): High EBITDA + market leader - Hard to sell? (1/2)

LOOKS STRONG TODAY

#1
Market leader

70%+
market share

₹345 Cr
Revenue

₹70 Cr
Adjusted EBITDA

Cash conversion cycle 30 days

FATR 8x

Surplus real estate ₹450 Cr

Surplus cash ₹150 Cr

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M&A case study (Die-casting): High EBITDA + market leader - Hard to sell? (2/2)

LOOKS STRONG TODAY

#1
Market leader

70%+
market share

₹345 Cr
Revenue

₹70 Cr
Adjusted EBITDA

Cash conversion cycle 30 days

FATR 8x

Surplus real estate ₹450 Cr

Surplus cash ₹150 Cr

CHALLENGE : SUNSET INDUSTRY

STRUCTURAL DECLINE
Long term demand headwind

Revenue trending down
₹360 Cr → ₹345 Cr

EBITDA under pressure
₹80 Cr → ₹70 Cr

Lower visibility
On future cash flows

WHY IT BECOMES HARD TO SELL

1 Sunset industry risk

- Lower growth expectations
- Lower terminal value
- Lower valuation multiples

2 Real estate overhang

Significant real estate on books → Demerger required → Tax implications → Fewer buyers, more complexity

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M&A case study (Coatings): Competitor synergies

Revenue

₹26 Cr (YoY growth 10%)

EBITDA

₹7 Cr (27%)

Cash and cash equivalents

₹10 Cr

- FG valued at Sales minus 20%
- Debt-free company

Cash conversion cycle on year-end numbers

140 days

Revenue in last quarter of every year

45%

- No managerial remuneration withdrawn
- Promoter running parallel applicator business

Double digit EBITDA multiple justified?

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M&A case study (Filtration): Structure to fill value gap

STRONG BUSINESS METRICS

High margin business
Consistently profitable

Unique product
Niche market leader

Financial performance

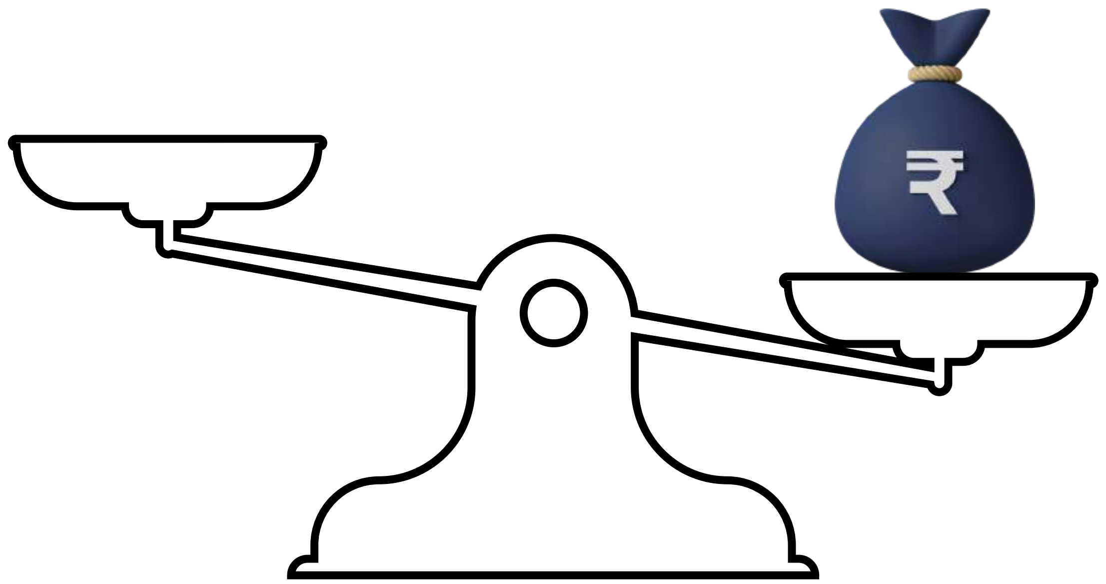
EBITDA range	EBITDA margin
₹10-12 Cr	**~30%**
Last 2-3 years	

Low growth rate
Revenue & EBITDA 6% YoY growth
Last 2-3 years

EXCESS CASH TRAPPED IN BUSINESS

Excess surplus cash
- Liquid assets of ₹100 Cr+
- Surplus asset value higher than operating business valuation

Cash trapped in business
- Cannot be taken out easily
- Structure and tax inefficiency



TAX STRUCTURE CREATES VALUE GAP

Buyer's perspective	Seller's perspective
Receives as dividend	Receives as capital gain
Dividend tax **~36%**	LTCG tax **~15%**

Different tax outcomes create a significant gap between the seller's expected value and the buyer's willingness to pay

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Startup and IPO valuation

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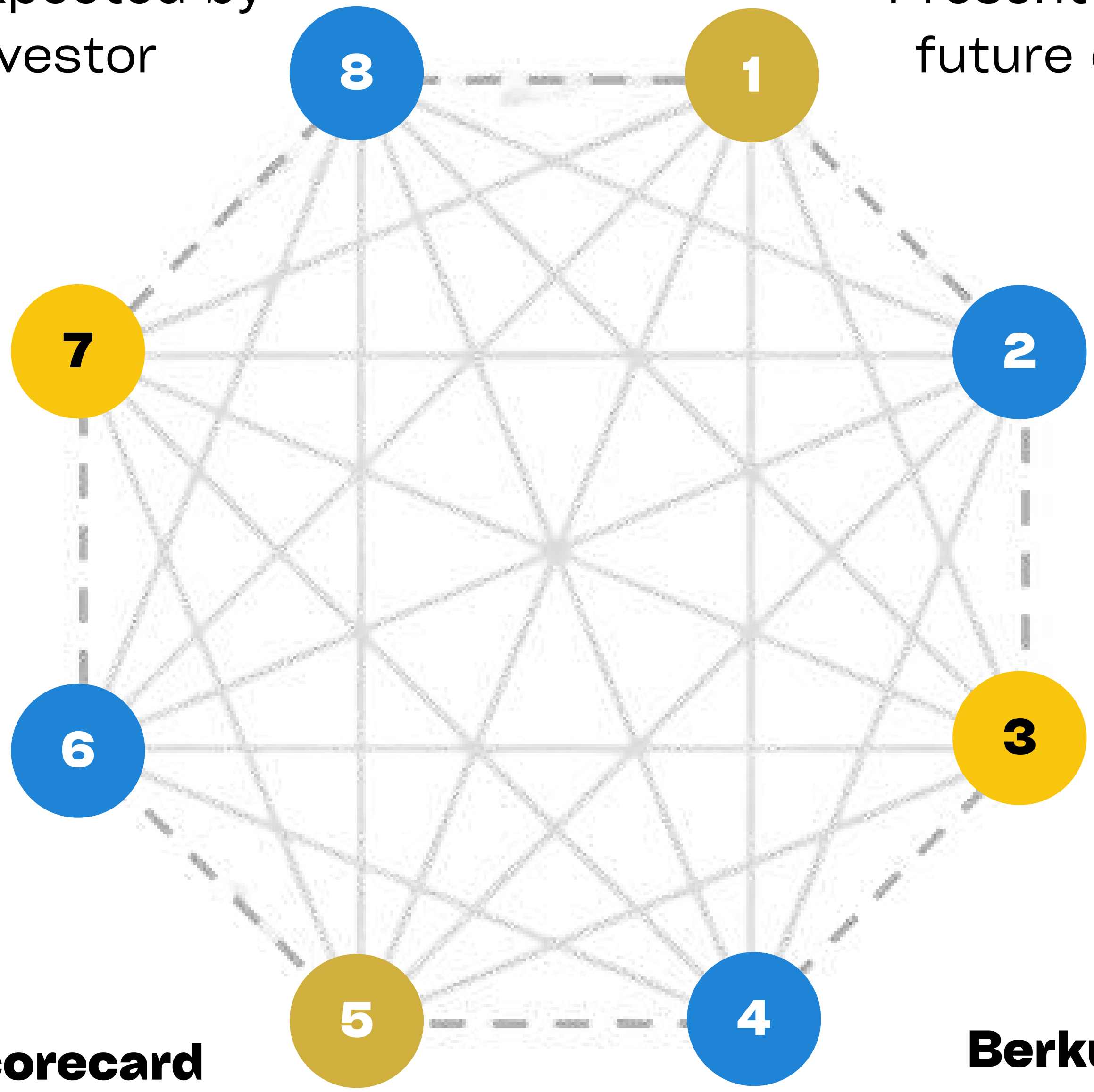
Start-up valuation

Startup valuation methods as per google search



1. Discounted cashflows
Present value of all future cashflows

2. Comparable companies
Rule of three with a KPI of similar company

3. Net asset value
Assessment of tangible assets of a company

4. Berkus
Assessment of 5 key quality parameters

5. Scorecard
Weighted average value adjusted for a similar company

6. Risk factor summation
Risk factors adjusted for 12 standard risk factors

7. First Chicago
Weighted average of 3 valuation scenarios

8. Venture capital
ROI expected by investor

Real world

- Flavour of the season
- Reverse calculation
- Discount to next round
- 10x MOIC during exit
- Value per user, etc.

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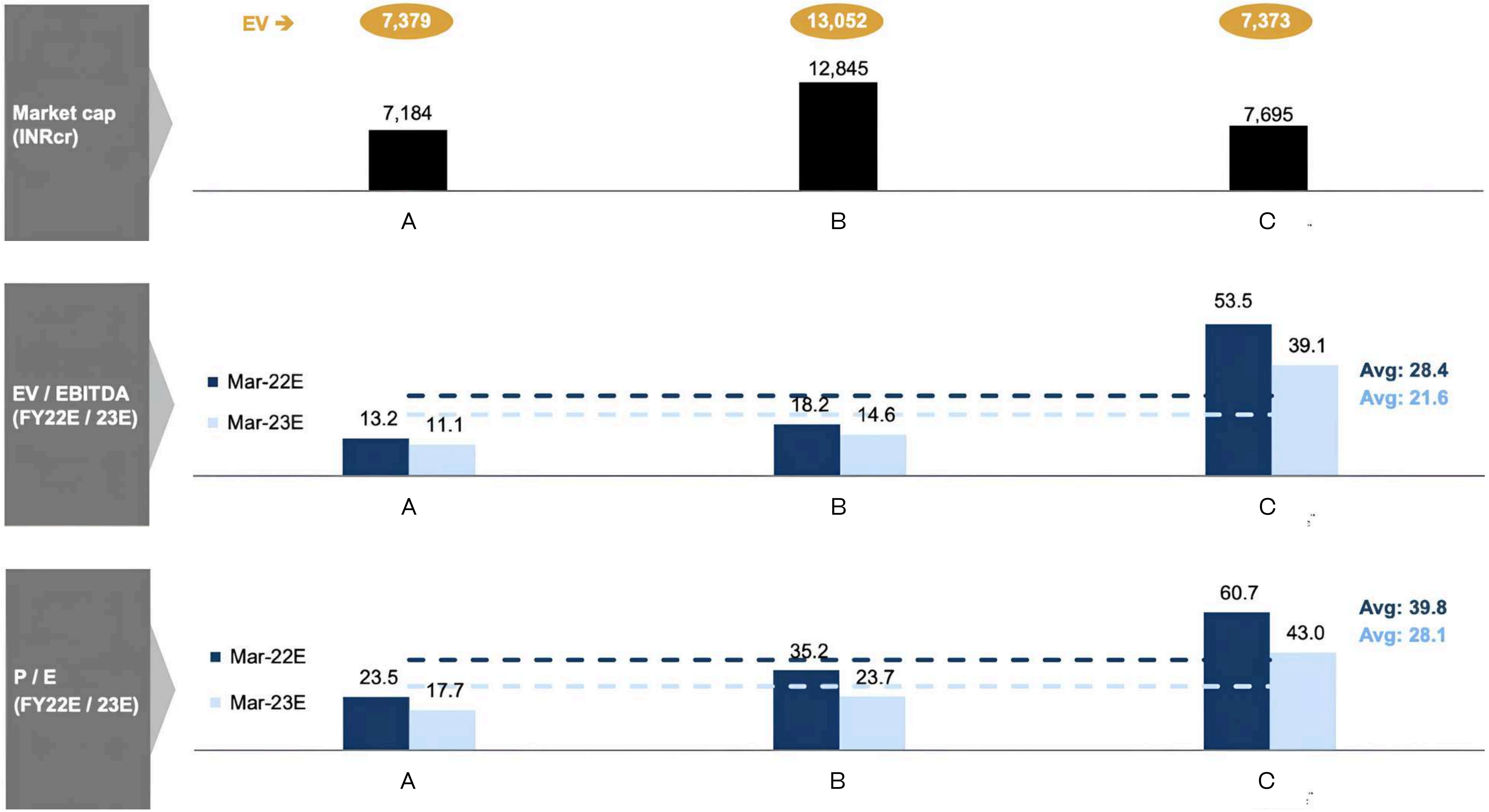
IPO valuation

Trading comparable: A and B would be the right peers

A and B are trading between 13-18x on FY22 EBITDA and 23-35x on FY22 PAT



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THANK YOU

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